Switching DID Across Restatement Definitions

Panel A: Switch into Big 4 / columns 1–4

	Any failure / strict	Any failure / middle	Any failure / broad	Restatement / middle
	(1)	(2)	(3)	(4)
Reported effect	-0.023715**	-0.085759***	-0.095198***	-0.080805***
	(0.010943)	(0.015365)	(0.016649)	(0.014662)
p	0.030	< 0.001	< 0.001	< 0.001
95% CI	[-0.045168, -0.002261]	[-0.115880, -0.055638]	[-0.127836, -0.062560]	[-0.109550, -0.052061]
Observations	64,707	64,707	64,707	64,707

Panel A: Switch into Big 4 / columns 5–7

	Restatement / broad	Restatement / strict	Violation
	(5)	(6)	(7)
Reported effect	-0.089634***	-0.010856	-0.015784*
	(0.016130)	(0.007680)	(0.008471)
p	< 0.001	0.158	0.062
95% CI	[-0.121256, -0.058011]	[-0.025912, 0.004199]	[-0.032391, 0.000823]
Observations	64,707	64,707	64,707

Panel B: Switch out of Big 4 / columns 1–4

	Any failure / strict	Any failure / middle	Any failure / broad	Restatement / middle
	(1)	(2)	(3)	(4)
Reported effect	-0.012677	-0.038375	-0.018369	-0.050057
	(0.025143)	(0.035065)	(0.037618)	(0.030808)
p	0.614	0.275	0.626	0.105
95% CI	[-0.062153, 0.036799]	[-0.107374, 0.030624]	[-0.092391, 0.055654]	[-0.110681, 0.010567]
Observations	3,664	3,664	3,664	3,664

Panel B: Switch out of Big 4 / columns 5–7

	Restatement / broad	Restatement / strict	Violation
	(5)	(6)	(7)
Reported effect	-0.028354	-0.026865*	0.003945
	(0.033586)	(0.014696)	(0.021096)
p	0.399	0.069	0.852
95% CI	[-0.094443, 0.037735]	[-0.055783, 0.002053]	[-0.037568, 0.045457]
Observations	3,664	3,664	3,664

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.